

How has the stock responded to all this? When the first edition was written it was at 16.16, after allowing for the various stock dividends that have been paid since. Today it is at 26½, a gain of 64 per cent.

A few other companies, with which I am somewhat less familiar but which I believe have management, trade position, growth prospects, and other characteristics which easily qualify them as good examples of this *B* group are Foote Minerals Company, Friden Calculating Machine Co., Inc., and Sprague Electric Company. Each of these companies has proven a highly desirable investment for those who have held the shares for a period of years. Sprague Electric roughly quadrupled in value during the 1947–1957 period. Friden stock was first offered to the public in 1954, but in less than three years it had increased about two and a half times in market value. By 1957 it was selling at better than four times the price at which blocks of stock are believed to have changed hands privately about a year prior to this public offering. These price increases, satisfactory as they might appear to most investors, were relatively minor compared to what has happened to the shares of the Foote Minerals Company. This stock was listed on the New York Stock Exchange early in 1957. Prior to that time the stock was traded over the counter and was first available to the public in 1947. At that time the stock was selling at about \$40 per share. Due to stock dividends and split-ups the investor who purchased 100 shares at the time of the original financing in 1947 and held on now has over 2400 shares. The stock recently sold at approximately \$50.

C. Finally there are the small companies with staggering possibilities of gain for the successful, but complete or almost complete loss of investment for the unsuccessful. I have already pointed out elsewhere why I believe the amount, if any, of such securities in an investment list should vary according to the circumstances and goals of the particular investor. However, there are two good rules to follow in regard to investments of this type. One has already been mentioned. Never put any funds into them that you cannot afford to lose. The other is that larger investors should never at the time of the original investment put over 5 per cent of available funds into any one such company. As pointed out elsewhere, one of the risks of the small investor is that he may be too small to obtain the spectacular prospects of this type of investment and still get the benefits of proper diversification.